

PGBP: A GBP-Pegged Stablecoin on Ethereum

Stable Sterling, on-chain.

Version: 1.0 (Final)

Date: 23 December 2025

Issuer: PGBP PAYMENTS LTD (Company No. 16925298)

Ticker: PGBP · Network: Ethereum Mainnet (ERC-20)

Total Supply: 300,000,000 (fixed, minted at genesis)

Smart-contract: 0x5239c659A13f043358D551360C3b8FF1251d76D9

Immutable (no proxy) · No admin controls · Source verified on Etherscan

Email: info@pgbp.io · Web: pgbp.io

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1. Abstract

PGBP is a fiat-backed, British Pound (GBP)-pegged stablecoin issued on Ethereum by PGBP PAYMENTS LTD. Each PGBP targets £1.00 and is redeemable (subject to KYC/AML) for GBP via the Issuer's treasury operations. Supply is hard-capped at 300,000,000 PGBP; minting is disabled. Burns are supported to facilitate redemptions. PGBP is designed for payments, settlement, and on-chain finance with conservative reserves, transparency, and compliance.

2. Introduction & Rationale

2.1 Purpose

Enable sterling-denominated digital money with fast settlement and programmability for global commerce, while aligning with UK regulatory expectations for fiat-referenced cryptoassets.

2.2 Design Principles

- Safety first: full-reserve, conservative operations.
- Simplicity: Ethereum-only, fixed supply, straightforward redemption.
- Transparency: clear redemption SLA, attestations, on-chain visibility.
- Compliance: KYC/AML, sanctions, and Travel Rule (Phase 2).
- Interoperability: standards-compliant ERC-20 support.

3. Token Specification

- Standard: ERC-20 · Symbol: PGBP · Decimals: 18 · Chain: Ethereum Mainnet only.
- Functions: transfer, approve, transferFrom, allowance, balanceOf, totalSupply, burn.
- Admin controls: None (no pause, no blacklist/freeze).
- Immutable (no proxy); source verified on Etherscan.

3.1 Treasury & Reserve Wallets

- Primary treasury wallet: 0x4ba2d7faae4453a122743a56736b0d4cebf10804
- Redemption/burn wallet: 0x50e3763b8ec8ce86b34ee3005e960577783b2964

4. Monetary Policy & Peg Mechanism

4.1 Peg Target

£1.00 per PGBP.

4.2 Reserve Model

- Backing: 1:1 GBP-denominated reserves held by/for the Issuer.

- Composition: 70% safeguarded GBP cash (instant access); 30% UK T-Bills/≤90-day gilts; no GBP MMFs.
- Custodians/Banks: Regulated UK institutions; names not published at launch.
- Concentration: ≤30% of total reserves with any single bank.

4.3 Issuance & Redemption

- Issuance: Released from pre-minted treasury balances upon cleared GBP receipt.
- Redemption: KYC/AML-passed holders redeem at par (less applicable fees). Redeemed tokens are burned/retired.
- Operational policy: ≤£100k requested by 15:00 London Time → same-day; £100k–£1m → T+1; >£1m → T+2; >£100k should give one business day's notice.
- No service to sanctioned countries.

4.4 Fees & Settlement

- Purchase fee: 5% · Redemption fee: 0%.
- Bank rails: Faster Payments (UK), CHAPS, SWIFT.
- Cut-offs: Buys received by 15:00 → same-day tokens; Redemptions ≤£100k requested by 15:00 → same-day payment.
- Settlement: Buys same-day (any amount, subject to KYC). Redemptions: ≤£100k same day; £100k–£1m T+1; >£1m T+2.
- Business days: Mon–Fri, UK bank holidays excluded.
- Bank charges: Issuer covers all bank fees; recovered via purchase fee.

5. Transparency, Attestations & Disclosures

5.1 Reserve Attestations

Quarterly; internal finance sign-off initially; transition to external independent attestations. Reports posted at pgbp.io/transparency and hashed on-chain. First period end: 30 September 2026.

5.2 Proof-of-Reserves (Phase 2)

Begins after the first external attestation; quarterly cadence. Publish attestation PDFs and a Merkle liabilities snapshot; hash on-chain; evaluate an oracle feed thereafter.

5.3 Disclosures

- Trigger: any event likely to impact peg, redemptions, reserves/custodians, or customer security.
- Initial notice within 24 hours across website banner + transparency page + signed social posts + client email.
- Public post-mortem within 7 days with root cause and remediation.

6. Governance & Organisation

Issuer: PGBP PAYMENTS LTD (England & Wales). Purpose: issue/administer PGBP; safeguard reserves; set policies; publish reports.

- Risk & Audit Committee chaired by Muhammed Al-Mumin.
- Policies: Treasury & Liquidity; Risk Management; Compliance; Information Security.

7. Compliance & KYC/AML

7.1 Regulatory Perimeter

Fiat-referenced cryptoasset; comply with AML/CFT and sanctions. Primary sales/redemptions with KYC/AML; on-chain transfers are permissionless.

7.2 Onboarding Requirements

- KYC/CDD for all buyers/redeemers (no threshold).
- Individuals: ID + liveness/selfie; Proof of Address; Source of Funds/Wealth as required by risk.
- Entities: corporate KYC, UBO identification; directors/signatories; SOF/SOW; board resolution.

Ongoing monitoring: risk-based periodic refresh (High: 12m; Standard: 24m; Low: 36m) plus event-driven reviews. Continuous sanctions/PEP screening.

7.3 Jurisdictions

No service to sanctioned countries. US persons allowed with enhanced KYC/EDD. EDD applied for high-risk countries.

7.4 Travel Rule & Reporting

Phase 2 implementation with an external provider; collect/verify/exchange required originator/beneficiary data per UK rules. Maintain AML/CFT records and reports.

8. Smart-Contract Architecture & Security

8.1 Overview

- ERC-20 with mint disabled and burn enabled.
- Immutable; no admin controls; Etherscan-verified.

8.2 Security & Audits

- Preferred auditors: OpenZeppelin + Trail of Bits (backup: ChainSecurity).
- Target schedule: Prep 5–9 Jan 2026; Audit 12–23 Jan; Remediation 26–29 Jan; Re-review 30 Jan–3 Feb; Publish by 4 Feb 2026.

8.3 Key Management & Treasury Operations

- Treasury multisig 3-of-5; Operations multisig 2-of-3.
- Hardware keys only; recovery procedures and periodic key drills.
- Daily on-chain/fiat reconciliations; incident runbooks.
- No on-chain pause (banking-layer mitigations only).

8.4 Bug Bounty (Phase 2)

- Policy at pgbp.io/security + security@pgbp.io; option to mirror on Immunefi.
- Scope: smart contracts + critical web/API surfaces.
- Payouts: Critical £20k; High £7.5k; Medium £2k; Low £500.

9. Treasury, Reserves & Liquidity

- Objectives: capital preservation, daily liquidity, peg stability.
- Eligible assets: safeguarded GBP cash and UK T-Bills/≤90-day gilts.
- Concentration: ≤30% per bank; liquidity drills and stress tests.

10. User Flows

10.1 Buying PGBP (primary)

Intent → KYC/AML → GBP to Issuer → Issuer releases PGBP → receipt + on-chain TX.

10.2 Redeeming PGBP

Request → (re)KYC as needed → send PGBP to redemption wallet → burn/retire → GBP payout per SLAs.

10.3 Secondary Markets

The Issuer does not operate, endorse, or guarantee any listing or liquidity. Primary issuance/redemption only via the Issuer's OTC. Third-party prices/liquidity are outside the Issuer's control.

11. Risk Factors

Bank/custodian risk; regulatory change; liquidity stress; de-peg; smart-contract and cyber risk; operational risk; sanctions/compliance risk; force majeure.

12. Roadmap

- Phase 1: Contract verification, transparency page, rails live, primary flows.
- Phase 2: External audit publication, PoR, bug bounty.
- Phase 3: Ecosystem integrations (wallets/processors) as announced.

- Phase 4: Expanded reporting dashboards.

13. Legal Notices & Disclaimers

PGBP is not a bank deposit or investment and accrues no interest. Not covered by FSCS. The Issuer may decline or reverse transactions to comply with law/sanctions. This is not investment advice. Use is subject to Terms and Privacy Policy.

14. Data Protection & Privacy (Summary)

Controller: PGBP PAYMENTS LTD (Company No. 16925298). Contact: info@pgbp.io. Data categories: identification, contact, verification, KYC/AML (SOF/SOW, screening), transactional, technical logs, support records, Travel Rule metadata. Bases: contract, legal obligation (AML/CTF), legitimate interests, consent (marketing). Sharing: banks, KYC/AML vendors, auditors, Travel Rule provider (Phase 2), IT vendors, regulators. International transfers with IDTA/SCCs. Retention: AML/KYC 5 years post-relationship. Security: access controls, encryption, incident response. Rights: access/rectify/erase/restrict/port/object (subject to legal limits). ICO complaint route. Not for under-18s.

15. Terms of Use (Summary)

- Eligibility & onboarding: 18+, complete KYC/AML. We may approve/decline to comply with law and sanctions.
- Services: primary buys (fiat→PGBP) and redemptions (PGBP→fiat) with published cut-offs and SLAs.
- Fees & charges: 5% buy; 0% redeem; issuer covers bank fees; unusual recall/charge costs may be netted off.
- Cut-offs & settlement: buys by 15:00 same-day; redemptions ≤£100k by 15:00 same-day; £100k–£1m T+1; >£1m T+2; >£100k give one business day's notice.
- No interest; no FSCS cover: PGBP is not a deposit and pays no interest; not covered by FSCS.
- Compliance & prohibited use: no unlawful activity/sanctions breaches; we may suspend/terminate to comply with law/risk.
- Risk disclosures: banking/custodian risk, regulatory change, liquidity stress, de-peg, smart-contract and cyber risks.
- IP & website use: owned by Issuer/licensors; no scraping/reverse-engineering/misuse.
- Liability & indemnity: cap on direct losses; no indirect/consequential; statutory rights preserved.
- Force majeure: not responsible for delays outside reasonable control.
- Governing law & venue: England & Wales; exclusive jurisdiction.

16. Design & Branding Notes

- Primary colour: Gold — #CDAE70.
- Secondary colour: Deep teal — #135D68.
- Fonts: Cinzel (headings), Inter (body) — will render if installed; otherwise Word substitutes.
- Logo: <https://pgbp.io/PGBP.png> (add to cover when available locally).

17. Change Log

- v1.0 (23 Dec 2025): Finalised issuer policies, reserves (70/30), attestations, PoR (Phase 2), rails & settlement SLAs, fees (5%/0%), KYC-for-all, US persons with EDD, incident disclosure (24h), Phase-2 bug bounty, secondary market language, branding, appendices.
- v0.91 (23 Dec 2025): Updated issuer details, wallets, Etherscan link, reserves split, attestations plan, rails/settlement, fees, compliance stance, incident disclosure, bug bounty, branding.
- v0.9 (2 Nov 2025): Initial public draft; Ethereum-only; fixed 300m supply; minting disabled; burn enabled; redemption policy captured.

Appendix A — Audit & Security Checklist

- Contract address, compiler settings, and Etherscan verification.
- External audit report(s) and remediation status.
- Admin controls (n/a) and multisig policy.
- Key ceremony documentation and recovery procedures.
- Bug bounty scope and reporting channel.
- Daily reconciliation and exception logs.

Appendix B — Sample Reserve Attestation Template

- Period covered, report date, responsible auditor/assessor.
- GBP cash & equivalents (by custodian) vs circulating PGBP.
- Reconciliation methodology and assurance statement.
- Exceptions or emphasis of matter (if any).

Appendix C — Glossary

- Stablecoin: a cryptoasset designed to maintain stable value relative to a reference asset.
- ERC-20: token standard on Ethereum for fungible tokens.
- Attestation: independent review asserting reserves meet or exceed liabilities.
- Proof-of-Reserves: cryptographic/oracle-based confirmation of backing.

Appendix D — UK Regulatory References (Non-exhaustive)

- UK Money Laundering Regulations 2017 (as amended) and related statutory instruments.
- Sanctions and Anti-Money Laundering Act 2018 and UK sanctions regime updates.
- UK Cryptoasset ‘Travel Rule’ requirements (effective 2023) and guidance.
- JMLSG Guidance for the UK financial sector (current edition).
- FCA and HM Treasury publications relevant to cryptoassets and AML/CTF controls.
- UK GDPR and Data Protection Act 2018 (data protection and privacy obligations).